AI LEADERSHIP PLAYBOOK

Pillar 1: Foundations

A comprehensive guide for broadband leaders
to understand, adopt, and leverage AI

CALIX INC

Pillar 1 • Chapter 1

Making AI Simple and Approachable

AI isn't science fiction. It's already part of everyday life. But what does it really mean for your business? Let's strip away the jargon and make AI simple.

This chapter introduces AI in practical terms, showing you what it is, how it's already working in your industry, and why understanding the basics helps you make smarter decisions for your business.

What You'll Learn

- What AI really is and what it isn't (debunking common myths)
- How AI is already working in broadband businesses like yours
- Why AI matters for your business, your team, and your customers

AI in Plain Language

AI is software that can learn from data provided to it and can help you make better decisions and automate tasks. Think of it as a digital assistant that gets smarter over time, helping you and your team work faster, smarter, and with more confidence.

In practical terms, there are two primary ways in which non-technologists will leverage AI for the foreseeable future:

Assistance

Copilot, ChatGPT, and Gemini are all examples of "AI Powered Conversational Assistants," or as they are commonly known, AI Assistants. While they may resemble the old-style "chat bots" that have been around for a few years, these latest generation tools are far more sophisticated, leveraging Large Language Models and other core AI features. However, in practice they fill the same need—intelligent entities we can talk to to augment our individual capabilities and become more effective.

Automation

This is how AI can help you streamline repetitive tasks and where Agents come into play. Automation means letting AI Agents handle routine work like summarizing notes, flagging issues, or sending reminders so your team can focus on higher-value activities.

In the broadband industry, these types of AI tools are already showing up in the technologies you use every day, from customer service to network monitoring tools. The key is to understand how these tools can help your business—not just what they do, but why they matter and how to make use of them.

Common Myths Debunked

Myth 1: AI will replace humans.

"Once we implement AI, we won't need as many employees."

Reality: AI amplifies human capabilities—it doesn't replace judgment or creativity. The best results come when people and AI work together, for example, with humans setting direction and AI handling the heavy lifting.

Myth 2: AI is too complex for small businesses.

"We'd need data scientists and engineers to even get started."

Reality: AI is already embedded in tools you use every day. You don't need a team of data scientists or AI engineers to get started. Most broadband providers can begin with the platforms and data they already have.

Myth 3: AI requires massive investment.

"We can't afford to implement AI right now."

Reality: It's best to start small with existing platforms and scale gradually. Many AI features are built into the software you already use—like Microsoft Copilot, Salesforce, or Calix Cloud—so you can experiment and grow at your own pace.

Why AI Matters

When we focus on outcomes, AI is about making smarter decisions faster and in a more reliable and scalable manner—not chasing shiny tech. For broadband leaders, it can be a way to:

- **Increase productivity:** Automate routine work so your team can focus on what matters most.
- **Improve subscriber experience:** Use AI to personalize service and respond faster to customer needs.
- **Stay competitive:** In a digital-first world, AI helps you keep pace with larger providers and deliver value to your community.

Chapter Takeaway

AI isn't about replacing your team or overhauling your business overnight. It's about taking practical steps to simplify operations, drive innovation, and grow your value with the team you already have.

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Activate Your AI Leadership Team

AI will soon be built into the same Calix Cloud applications, Engagement Cloud, Operations Cloud, and Service Cloud, that already run your core business.

When that happens, you'll have access to a complete AI enabled platform from a trusted source ready to leverage to incorporate AI into your core business processes. What's needed at the start of your journey is leadership to decide how these new capabilities will be used day-to-day: which problems to solve first, how to measure results, and how to keep adoption consistent across teams.

What You'll Learn

- Why setting out an explicit AI leadership team is vital
- What roles are key to that team

Platforms Provide Power; Leadership Decides Where to Focus It

An AI leadership team keeps things organized and intentional. It ensures every AI effort supports clear business goals, saving time, improving the subscriber experience, or easing the load on staff, instead of becoming a one-off experiment.

Because governance is a leadership responsibility, this group also defines how AI tools will be tested, approved, and introduced to employees across the company. They set practical boundaries for what should stay in human hands versus what can be automated, share what's working, and build confidence through communication and hands-on learning. Resources like Calix U's AI-Empowered Workforce Evolution program make that curated rollout of AI easier to scale.

When Forming Your Team

- **Start small.** Even two or three people can drive meaningful progress.
- **Choose cross-functional members.** Include voices from operations, marketing, and customer service.
- **Assign clear roles.** Define who leads, who coordinates, and who reports back.

Key Roles to Consider

Executive Sponsor

Champions AI at the leadership level and secures resources.

AI Lead

Coordinates day-to-day efforts and tracks progress.

Change Champion

Drives adoption and addresses team concerns.

Governance Owner

Ensures ethical, transparent, and responsible use.

Chapter Takeaway

As your first act in adopting AI, set out a specific leadership team with defined roles to lead your company on the journey to successful AI adoption.

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Three Initial AI Decisions That Will Set Your Course

AI can be transformative, but only when it serves your strategy, not the other way around. The choices your leadership team make at the beginning of your AI journey will determine how effectively AI strengthens your operations, improves your customers' experiences, and drives sustainable growth for years.

This chapter helps you make three early decisions that will shape how fast, and how safely, you adopt AI across your business.

What You'll Learn

- How to define clear business intent by aligning AI adoption with specific operational challenges and measurable outcomes
- Strategies for selecting the right platforms that integrate with your existing systems and data infrastructure
- Best practices for establishing governance frameworks that ensure accountability, security, and ethical AI use
- Techniques for connecting each AI initiative to tangible business value and performance metrics

Decision #1: Define Your Business Intent

Start by asking yourself: "What are our intended outcomes with AI? What business problems will it solve?"

Every successful AI program starts with clarity of purpose. The most effective leaders don't begin with "What can AI do?"—they begin with "What do we need to get better at?" When broadband service providers (BSPs) define that intent clearly, AI stops being a shiny experiment and becomes a practical engine for performance.

Start With the Right Problems

In conversations with BSP leaders adopting AI today, the same themes come up again and again:

Today's Problems	How AI Can Help
"We spend too much time reacting to trouble calls."	Detect service or sentiment issues before they escalate—reducing truck rolls and inbound calls by up to 20%.
"Our frontline teams all do things differently."	Standardize performance with AI-driven call scoring and feedback—delivering a consistent, professional experience.

"Managers waste hours reviewing random calls."	Automate quality summaries so leaders focus on coaching and development, not monitoring.
"Subscribers only call when frustrated."	Predict churn risks with AI sentiment analysis and trigger timely outreach before frustration turns into cancellation.
"Sales performance is uneven."	Coach every rep using insights from high-performing conversations—AI analyzes tone, pacing, and phrasing to replicate success.

Patterns Behind Effective Intent

Across these examples, the clearest intents share five traits:

- **Efficiency** — Buy back time so people can focus on higher-value work.
- **Consistency** — Deliver the same great experience every time.
- **Proactivity** — Solve problems before subscribers feel them.
- **Professionalism** — Raise the standard of every interaction.
- **Personalization** — Tailor support and offers to each customer's reality.

Decision #2: Choose the Right Platforms

The next key question you should ask yourself is: "Where and how will we activate AI to solve those business problems?"

Once you know why you're adopting AI (Decision #1), the next question is where to bring it to life (Decision #2). For most broadband providers, AI should be leveraged via the platforms you already use every day: your productivity suite, CRM, billing system, support tools, and the Calix Cloud.

Guidelines for Choosing Wisely

- Select a trusted platform that fits your data, security, and operational model.
- Leverage AI-native tools such as Microsoft Copilot, Workday, or Calix Cloud that include built-in governance, auditability, and enterprise-grade security.
- Confirm data readiness. AI is only as good as the data it can see.
- Respect governance boundaries. Keep AI activity inside your existing security boundaries.

Decision #3: Establish Governance, Security and Accountability

AI adoption needs clear ownership from the beginning. Assign a small group, or even just one or two people, to guide AI adoption, set guardrails, and measure results. Their focus should be on:

- Defining standards for ethics, privacy, and security
- Deciding when tools are ready to deploy broadly
- Linking every use case to measurable business outcomes

Clear ownership builds trust, speeds adoption, and ensures successful AI adoption.

Chapter Takeaway

Focus on leveraging the AI capabilities within the platforms you already trust and use the three key decisions set out in this chapter to frame out your early adoption of AI.

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Create Your AI Governance Policy

As mentioned at the end of chapter 3, your governance policy for AI is one of the key decisions your AI leadership team needs to make as you begin your AI adoption journey.

In the simplest case, in which you rely on your trusted platforms to provide the AI capabilities your company will use, little more is required to put in place the appropriate governance structures than we covered in chapter 3. However, if your AI ambitions go beyond simply leveraging your key business platforms, we've written this chapter to help you extend those simple governance policies to encompass the complexities associated with a deeper investment in AI in your company.

What You'll Learn

- The various levels of complexity that exist in implementing AI
- How to govern the risk AI introduces at each of those levels
- How to create an AI governance policy that fits the unique needs of your company

Strengthen What Exists — Extend Where Needed

If you've followed the guidance in Chapter 3 and chosen where AI will live (Decision #2), you've already made your first governance decision.

For most broadband providers, the AI most used by its employees will appear inside the trusted platforms they already count on, e.g. Microsoft 365, Salesforce, Calix Cloud. These platforms come with enterprise-grade security, privacy, and compliance controls baked in. That means governance isn't something new to build. It's something to review, reinforce, and communicate.

However, in situations where a broadband provider is aggregating data for analytics or introducing stand-alone AI tools or home-grown applications that operate outside those environments, different levels of work and oversight are required. Each level of complexity raises the risk level, requiring deeper governance measures.

AI Location	Risk Level	Governance Approach
Embedded AI in SaaS / Vendor Applications	Low – Medium	Policy + Procurement Controls
AI in Data & Analytics Platforms	Medium – High	Model Governance + Data Governance Integration
Custom / LLM / Agent AI	Highest	Full AI Risk Management + Human Oversight

It's very important to recognize that not all AI requires heavy governance. The most important thing is to govern the risks AI introduces, not the technology itself.

Trusted Applications with Built-In AI — Low Risk

Modern examples: Workday, Salesforce, and ServiceNow

When you're working with AI embedded in vendor applications, you rarely govern the model itself. Instead, you are governing how your company uses it. This significantly lowers the inherent risk and complexity of governance. Your controls include:

- Contract Language
- Enable/Disable features by policy
- Access rights (which roles see AI suggestions)
- Documentation of business impact
- Audit logs for decisions influenced by AI
- Acceptable Use Policies

AI in the Data / Analytics Layer — Medium Risk

Modern examples: Snowflake Cortex and Databricks

Where you are aggregating data from multiple sources for analytics, your risk and complexity grows because this is where insights start influencing decisions. Additional controls include:

- Data handling standards (Data Governance)
- Privacy Assessments (Data Governance)
- Data lineage (Data Governance)
- AI-generated insights should require peer reviews
- Automated Decisions must be manually approved
- Fairness and bias checks

Custom AI / LLM / Agent Systems — High Risk

Modern examples: OpenAI, RAG, and internal copilots

When you are planning to build custom AI capabilities, the risk grows along with the need to apply the full governance stack. Additional control requirements:

- Prompt filtering / safety guardrails
- Human-in-the-loop for high-impact actions
- Output logging and traceability
- Clear rollback and shutdown procedures

Chapter Takeaway

AI governance is an extension of existing governance, applied based on where AI is located and its business impact. For most broadband providers, focus on governing the decisions AI influences and mitigate risk by leaning on vendors like Calix who lower your risk profile.

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Education & Enablement

One of the key lessons that has emerged from those companies on the leading edge of AI adoption has been that preparing your employees to be ready for and able to use AI is vital to successful adoption. The companies that have been successful have shown that a robust program of education and enablement for your employees is a requirement, not an option. Simple AI orientation meetings will not get the job done.

What You'll Learn

- What You'll Learn
- What the goals of Education & Enablement are
- Some key roles to target
- How to leverage your key partners
- Why and how to engage your full community
- How to build a simple but valuable program on a budget

Why Education & Enablement Matter

AI adoption, like all technology adoption, succeeds or fails on the basis of one key factor: people. Even with the right strategy, platforms, and governance, progress stalls if teams aren't mentally and practically ready to work with AI. Education & Enablement are about building confidence in your employees, not just compliance with the rules. They focus on helping every employee understand why change is happening, what it means for them, and how they can actively participate.

Practical Steps to Launch Your Program

Follow these steps to build momentum and ensure your AI education program delivers real results.

1. **Assess Readiness:** Survey your teams to identify their knowledge gaps and concerns.
2. **Map Training to Personas:** Align content and delivery with the needs of each role leveraging AI.
3. **Leverage Existing Resources:** Use internal platforms and vendor offerings to avoid duplication.
4. **Track Progress:** Integrate learning milestones into team meetings and development plans.
5. **Celebrate Success:** Recognize individuals and teams who embrace AI and share their wins.

Building Your AI Education Program

A successful AI adoption strategy requires education at every level—from frontline teams to executives—and extends beyond your organization to include partners, customers, and the broader community you serve. The good news? You don't need a massive budget to make it happen.

Focus on three practical delivery methods that don't require a large budget:

- Microlearning — Short 5-10 minute modules that fit busy schedules
- Peer-Led Training — Empower early adopters to share tips with colleagues
- Vendor Resources — Leverage materials from partners like Calix University

The matrix below shows how to match these formats to the right topics and audiences

Training Topic	Frontline Teams	Technical Teams	Leadership
AI Fundamentals Core concepts & safe use	**Essential** Microlearning + Vendor	**Essential** Microlearning + Vendor	**Essential** Vendor Resources
Role-Specific Applications AI tools for daily workflows	**Essential** Peer-Led + Vendor	**Essential** Vendor Resources	**Recommended** Vendor Resources
Integration & Data Readiness Deployment & security	**Recommended** Peer-Led	**Essential** Peer-Led + Vendor	**Recommended** Vendor Resources
Governance & Strategy Adoption & measuring impact	**Recommended** Microlearning	**Recommended** Peer-Led	**Essential** Vendor Resources

Best Practice: Leverage Key Partners

Include your key partners in your education & enablement initiatives, whether they're technology vendors, consultants, or ecosystem collaborators. Calix is one prime example of such a partner. Leverage these key partners as they are undoubtedly on a similar journey and would be eager to help you.

Chapter Takeaway

Effective change management is the bridge between AI strategy and AI success. By assessing readiness, building coalitions, managing resistance with empathy, leveraging existing learning resources, and communicating with clarity, you can guide your team through the transition to confident AI adoption.

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Change Management

Here's news that will not surprise you: AI has the power to change your company in profound ways. Here's more news that won't surprise you: When anything threatens to change your company in profound ways you need to put in place a program of change management to help your employees, your leadership, and you through that change successfully.

In the prior chapter we talked about the table stakes of change management – education and enablement. Now we dig in more deeply on what's required to lead your team through the transition to robust AI adoption and accelerated business growth.

What You'll Learn

- Why change management is vital to successfully adopting AI
- A simple 6-step process for building an effective change management program

Preparing People to Work Confidently with AI

The flip side to the fact that AI has the potential to improve every role in your company, is that AI has the potential to change every role in your company, and as we know, change is not something people uniformly embrace. What's key therefore, as you introduce AI into your company, is effective Change Management.

Change management isn't about controlling your people, it's about creating confidence in them. When done correctly, it helps every employee understand why change is happening, what it means for them, and how they can actively participate in it.

1. Assess and Build People Readiness

One mistake people can make in building a change management program is focusing on the goal or destination, not the start. Great change management starts by assessing where your staff is now and meeting people where they are.

Another best practice is for the leaders of the initiative to exhibit vulnerability and honesty. Admitting you don't have all the answers invites curiosity instead of fear and builds real trust. It's vital to remember transformation is social before it is digital.

2. Build Coalitions, Not Committees

Successful change spreads through relationships, not mandates. Identify a cross-functional AI Champion network with early adopters from across your company such as customer service, network operations, field technicians, sales, finance, or other departments.

- Give these champions early access to AI tools and learning resources.
- Encourage them to share success: "What got easier this week because of AI?"
- Empower them to raise obstacles quickly so issues are solved in real time.

Key insight: Coalitions create cultural pull. People will follow peers who model what's possible.

3. Manage Resistance with Empathy and Evidence

Resistance isn't opposition; it's information. When employees hesitate, it's usually the result of one of three things:

- **Fear of loss:** "Will AI replace what I do best?"
- **Lack of clarity:** "How does this fit into my day-to-day work?"
- **Lack of confidence:** "Do I have the skills to use this responsibly?"

Address each of these issues with empathy and evidence:

- Reinforce that AI assists people, it doesn't replace them.
- Share real examples of productivity or service improvements.
- Offer hands-on, role-based training so confidence grows alongside capability.

4. Leverage Existing Learning Modules

An easy example of valuable training material from a trusted external source is the Calix Education & Success Portal. The goal is to help teams move from awareness to confident application one step at a time.

One effective tactic is to bake training into the normal workings of your company. Integrate each learning phase into regular team meetings, manager check-ins, or quarterly development plans so learning becomes part of the rhythm of the company, not a one-time event.

5. Communicate with Clarity and Cadence

People's fear of change is one thing, but that fear can be made even more pronounced if there is confusion. A good communication plan around AI adoption will provide:

- **Clarity:** Always explain the why behind each change. Tie updates back to business intent and subscriber value.
- **Consistency:** Use unified language across leadership messages, internal posts, and meetings.
- **Cadence:** Communicate early, often, and again after milestones are achieved.

Create a two-way dialogue with your employees through Q&A; sessions, office hours, or community forums. Welcome the gift of feedback.

Chapter Takeaway

Effective change management is the bridge between AI strategy and AI success. By assessing readiness, building coalitions, managing resistance with empathy, leveraging existing learning resources, and communicating with clarity, you can guide your team through the transition to confident AI adoption.

Essential Terms & Definitions

Calix AI Leadership Playbook

Machine Learning (ML)

A subset of AI where systems learn and improve from experience without being explicitly programmed. ML models identify patterns in data to make predictions or automate decisions.

Large Language Model (LLM)

A type of AI trained on massive amounts of text that can understand and generate human-like language. LLMs power tools like ChatGPT, Copilot, and Claude.

Generative AI

AI systems that create new content—text, images, code, or audio—based on patterns learned from training data. This technology powers content creation and AI assistants.

Retrieval-Augmented Generation (RAG)

A technique that enhances AI responses by first retrieving relevant information from your knowledge base, then using that context to generate accurate, grounded answers.

Agentic AI

AI systems that can autonomously plan, execute multi-step tasks, use tools, and make decisions to achieve goals with minimal human intervention.

AI Agent

A software entity powered by AI that can perceive its environment, make decisions, and take actions to accomplish specific objectives—often handling routine tasks end-to-end.

Agent-to-Agent (A2A)

Communication and collaboration between multiple AI agents, where agents coordinate, share information, or hand off tasks to accomplish complex workflows together.

Model Context Protocol (MCP)

A standardized way for AI models to connect with external tools, data sources, and services—enabling agents to access real-time information and take actions in other systems.

Human-in-the-Loop (HITL)

A design approach where humans review, approve, or intervene in AI decisions before actions are taken—ensuring oversight and accountability in critical processes.

Hallucination

When an AI generates information that sounds plausible but is factually incorrect or fabricated. A key reason for human oversight and verification of AI outputs.

Prompt

The input or instruction given to an AI system. Effective prompting—being clear, specific, and providing context—is key to getting useful, accurate outputs from AI tools.

Token

The basic unit of text that AI models process—roughly equivalent to a word or word fragment. Token limits determine how much text an AI can consider at once.

AI Governance

The policies, processes, and controls that ensure AI is used responsibly, ethically, and in alignment with business objectives and regulatory requirements.

Remember: Calix Success is your partner every step of the way.